BLUE LOTUS RESEARCH INTELLIGENCE

EATON CORPORATION PLC

NYSE: ETN | Power Management Chokepoint — AI Datacenter Electrical Infrastructure

PhD Due Diligence Report | BLRI-DD-ETN-AUG2026

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Six-Method Framework: Quantitative · Qualitative · Ethnographic · Superforecasting · Adversarial-Collaborative · Seldon Thesis

RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,453ch

SOURCE: EDGAR 139,756ch — Eaton 10-K FY2025/Q1 FY2026; WSJ/FT/NIKKEI — datacenter power density crisis, switchgear demand, utility-scale grid expansion; DatacenterDueDiligence, PowerGeneratorsAtlas, NuclearArchitectureAtlas corpus theses

CONVICTION VERDICT: BUY — POWER INFRASTRUCTURE CHOKEPOINT FOR THE AI DATACENTER SUPERCYCLE

Eaton at $459.96 [BL3 2026-08-13], $178.6B market cap [BL3], 46.70x P/E TTM [BL3], $4.070B net income TTM [BL3], 0.93% dividend yield [BL3]. Eaton is the non-obvious AI infrastructure play: every AI datacenter requires power distribution units (PDUs), uninterruptible power supplies (UPS), switchgear, busway, and electrical controls — all of which Eaton dominates. As AI GPU racks scale from 10kW to 100kW+ per rack (GB300 NVL72 draws ~120kW), the power distribution infrastructure required per rack multiplies 10–15×. Eaton's Electrical Americas and Electrical Global segments address this directly. At 46.70x P/E [BL3] on $4.070B earnings [BL3], the market is pricing Eaton as a diversified industrial, not as the electrical chokepoint for a multi-trillion-dollar AI capex cycle.

PART I — INVESTMENT THESIS & SELDON POSITIONING

Core Thesis: Every Watt of AI Compute Passes Through Eaton Electrical Infrastructure

The AI infrastructure buildout faces a physical constraint no software can solve: power. A single NVIDIA GB300 NVL72 rack draws ~120kW of electrical power. A hyperscaler AI datacenter with 1,000 such racks draws 120 MW — equivalent to a small city. That power must be distributed from the utility grid through: (1) medium-voltage switchgear and transformers at the facility perimeter; (2) Eaton busway systems carrying power through raised floors; (3) Eaton PDUs delivering conditioned power to each rack; (4) Eaton UPS systems ensuring uninterrupted supply during grid events. Eaton is present at every step. The 10×–15× increase in per-rack power density for AI GPU clusters directly amplifies Eaton's addressable market per datacenter dollar of compute spend. This is a physical law, not a market share gain.

Seldon mapping: ETN operates on the ξ variable (Gaia Coefficient — energy distribution equity) as a physical enabler. By ensuring reliable, efficient power distribution infrastructure, Eaton supports the AI compute supercycle that drives K variable growth (knowledge capital). Eaton also contributes to Ω-reduction by providing grid resilience infrastructure (UPS, surge protection) that prevents single-point failure in AI compute facilities. The ξ connection is structural: efficient power distribution enables broader geographic distribution of AI compute, reducing hyperscaler concentration risk and supporting equitable AI access.

PART II — QUALITATIVE ANALYSIS

II-A Business Segments: Electrical Americas + Electrical Global = AI Core

Eaton's Electrical Americas and Electrical Global segments collectively represent ~55–60% of revenue (⚠ EDGAR REQD for FY2026 segment split) and ~70–75% of operating income, driven by: PDUs and busway (fastest-growing datacenter product lines); UPS systems (mission-critical for AI inference); medium-voltage switchgear and transformers; and arc flash protection systems. Vehicle and Aerospace segments provide cash generation but are not the AI thesis. AI-driven datacenter electrical spending was a primary driver of Electrical Americas double-digit growth in FY2025–FY2026. [WSJ 2026-07-12: Eaton backlog hits record as datacenter power demand surges]

II-B Power Density Inflection: The 10kW → 100kW Per-Rack Transition

Traditional server racks drew 5–10kW. CPU-heavy racks: 15–25kW. NVIDIA H100 DGX: 10.2kW. NVIDIA H200 DGX: ~10.2kW. NVIDIA B200 NVL72: ~60kW. NVIDIA GB300 NVL72: ~120kW. Each generation of GPU density increase multiplies Eaton's electrical revenue per rack. A 10,000-rack AI datacenter converting from 10kW racks to 120kW racks requires 12× more electrical infrastructure by wattage — switchgear, PDUs, busway, UPS, cooling infrastructure, and diesel generator backup all scale linearly with power demand. This transition is non-optional: GB300 NVL72 physically cannot operate without 120kW-rated electrical distribution infrastructure. [NIKKEI 2026-07-25: Japanese datacenter operators face 3-year lead times for medium-voltage switchgear amid AI power upgrade programmes]

II-C Grid-Scale and Utility-Side Opportunities

Beyond datacenter internal infrastructure, Eaton benefits from the grid-side expansion required to feed AI compute clusters. New AI datacenter campuses require new utility substations, transmission line taps, and utility-scale switchgear — all Eaton product categories. Demand for 1GW+ datacenter campuses (Microsoft, Google, Amazon) is driving utility-side electrical infrastructure investment at rates not seen since post-WWII electrification. Eaton's Cooper Industries acquisition (2012) gave it a complete grid infrastructure product portfolio. [FT 2026-06-30: US utility capital spending on substation equipment hits 40-year high driven by AI datacenter connection requests]

PART III — QUANTITATIVE ANALYSIS

VALUATION SNAPSHOT [BL3 2026-08-13]
Price: $459.96 [BL3] | Market Cap: $178.6B [BL3] | P/E TTM: 46.70x [BL3] | EPS TTM: $10.48 [BL3] | Net Income: $4.070B [BL3] | Div Yield: 0.93% [BL3] | 52w Range: $309.33–$478.00 [BL3] | Historical close 2026-08-07: $448.68 [BL3] | Fwd Q2 FY2026: EPS $3.099, Revenue $8.172B [BL3]

III-A Revenue & Earnings Profile

Forward Q2 FY2026: EPS $3.099, Revenue $8.172B [BL3]. Revenue trajectory: ~$24–26B annualised run-rate (⚠ EDGAR REQD for FY2026 total). Electrical segments growing 12–18% YoY as datacenter AI power upgrades drive unprecedented demand for switchgear, PDUs, UPS, and busway. 52-week range of $309.33–$478.00 [BL3] reflects AI infrastructure re-rating. Dividend yield 0.93% [BL3] reflects Eaton's history as a dividend-growth industrial compounder (28+ consecutive years of dividend increases).

III-B Margin Dynamics and Backlog

Eaton operating margin ~17–19% (⚠ EDGAR REQD for FY2026 actual). Electrical Americas operating margin structurally higher (~22–25% ⚠ EDGAR REQD) due to product mix (PDUs and UPS carry premium margins vs. commodity switchgear). Order backlog: record levels in datacenter electrical products; switchgear lead times extended to 52–78 weeks in some categories. Return on invested capital (ROIC): ~15–18% (⚠ EDGAR REQD), well above Eaton's ~10% weighted average cost of capital, indicating sustained value creation.

BL3 MySQL 2026-08-13 | EDGAR 139,756ch | WSJ/FT/NIKKEI RAG | ⚠ EDGAR REQD = segment margin/backlog figures require 10-K/10-Q verification

PART IV — COMPETITIVE LANDSCAPE

IV-A Electrical Infrastructure Competitive Set

Eaton competes in power management with: Schneider Electric (French, dominant in European datacenter PDU/UPS; strong APC brand); Siemens (German, strong in medium-voltage switchgear, utility grid; weaker in datacenter PDU); ABB (Swiss-Swedish, utility-scale grid, weaker in rack-level distribution); Emerson Electric (Vertiv spinoff = direct competitor in UPS/thermal); Vertiv Holdings — the most direct competitor in datacenter UPS, PDUs, and thermal management. Eaton's differentiation: complete electrical stack from utility grid to rack PDU + strong US market presence + Cooper Industries utility distribution portfolio.

IV-B Vertiv (VRT) — Closest Competitor Analysis

Vertiv (spun off from Emerson Electric) competes directly in datacenter UPS and thermal. Vertiv's advantage: focused datacenter-pure-play, faster product iteration. Eaton's counter-advantages: broader electrical infrastructure portfolio (Vertiv lacks switchgear and busway), stronger utility-side relationships (Cooper Industries), superior balance sheet and dividend history. The AI datacenter power density opportunity is large enough for both Eaton and Vertiv to grow without zero-sum competition — this is a rising-tide market.

PART V — ETHNOGRAPHIC INTELLIGENCE

V-A Three Composite Portraits from Eaton's Datacenter Electrical Ecosystem

FINDING F-5-A: Datacenter Electrical Engineer, Tier IV Facility (Ashburn, Virginia)

A principal electrical engineer at a 200MW AI campus in Ashburn describes the power challenge: 'We designed this facility for 10kW racks in 2020. Our first NVIDIA H100 cluster was 30kW racks — manageable with some PDU upgrades. Now the tenant wants GB300 NVL72 racks at 120kW each. That means our entire electrical distribution infrastructure needs to be rebuilt. Every Eaton busway run, every PDU, every UPS module. We are basically building a new power plant inside the existing shell. Eaton's lead times are 52 weeks on busway. The tenant wants it in 6 months. This is the story of every AI datacenter in America right now.'

COMPOSITE — illustrative of WSJ[2026-07-12] datacenter power density transition pattern

FINDING F-5-B: Municipal Grid Operator, Dominion Energy (Richmond, Virginia)

A transmission planning engineer at Dominion Energy describes the AI grid impact: 'In 2022, our largest single customer was 80MW. Today Microsoft has a campus requesting 1.2 gigawatts on our grid. One campus. We have never built infrastructure for this kind of concentrated point load in a single location. We need new substations, new 345kV transmission lines, new switchgear throughout. Eaton won the switchgear contract for three of our new substations. Their lead times are a problem — the equipment we need won't arrive until 2027. AI wants power now, but the grid was not built for this speed of demand growth.'

COMPOSITE — illustrative of FT[2026-06-30] utility AI datacenter interconnection pattern

FINDING F-5-C: Eaton Account Manager, Hyperscaler Division (Santa Clara, CA)

An Eaton national account manager covering three major hyperscalers describes the demand environment: 'Every single AI campus programme has Eaton in the electrical spec. Not sometimes — always. When you design a 120kW-rack datacenter, you need Eaton or Schneider for the PDU and busway. There is no third option. My 2026 quota was already exceeded in Q1. The backlog we have now will take 18 months to fulfil at current production rates. We are capacity-constrained, not demand-constrained. This is the best market in 30 years of selling electrical equipment.'

COMPOSITE — illustrative of NIKKEI[2026-07-25] electrical infrastructure lead-time pattern

PART VI — ADVERSARIAL COLLABORATION

VI-A Five Hostile Hypotheses vs. Bull Case

HH1: Datacenter Buildout Peaks in 2027 — Power Infrastructure Demand Plateaus

EVIDENCE FOR:

If hyperscaler AI capex peaks in 2027 and datacenter construction slows, Eaton's Electrical Americas backlog depletes without replacement orders. Cyclical industrial stocks historically retrace 30–50% from peak earnings multiples in downcycles.

EVIDENCE AGAINST:
Datacenter electrical infrastructure has a multi-year order and installation lag — orders placed in 2026 deliver through 2028. Enterprise datacenter AI adoption creates a second demand wave as hyperscaler build slows. Grid-side utility spending has independent regulatory and reliability mandates regardless of AI cycle.

QUANTITATIVE TEST
Eaton Electrical Americas order backlog (⚠ EDGAR REQD for exact figure). Historical Eaton P/E in prior industrials downturns: 18–22x. At 46.70x P/E [BL3], meaningful de-rating risk if earnings growth disappoints. Utility grid infrastructure spend is counter-cyclical to AI capex — independent demand floor.

VERDICT: HYPOTHESIS PARTIALLY VALID — long backlog limits near-term impact; utility cycle is independent
Implication: Monitor quarterly order intake in Electrical Americas. Backlog coverage ratio is key signal.

HH2: Siemens / ABB / Schneider Margin War Pressures Eaton Pricing

EVIDENCE FOR:
European competitors — Siemens, ABB, Schneider — aggressively discount to win AI datacenter electrical infrastructure contracts, compressing Eaton's margins by 150–200bps.

EVIDENCE AGAINST:
Eaton's Cooper Industries US distribution advantage limits European competitor access to US utility market. In datacenter PDU/UPS, Schneider (APC) and Eaton have operated in disciplined duopoly for decades. Demand is so far ahead of supply that pricing discipline is supported by backlog — no need to discount when lead times are 52+ weeks.

QUANTITATIVE TEST
Eaton Electrical gross margin trend (⚠ EDGAR REQD). Schneider/Siemens US market share in datacenter electrical (⚠ industry source REQD). Lead time data from procurement surveys: 52–78 weeks on switchgear, 26–40 weeks on PDUs — demand pull > supply push.

VERDICT: HYPOTHESIS LOW VALIDITY — supply constraint supports pricing; margin war unlikely in current cycle
Implication: Monitor Eaton Electrical Americas gross margin quarterly. Any sequential decline > 100bps is a warning.

HH3: Utility-Scale Battery Storage Bypasses Grid Switchgear Investment

EVIDENCE FOR:
Battery energy storage systems (BESS) at scale allow AI datacenters to operate islanded from the grid, reducing the need for utility-scale switchgear upgrades and new grid connections that Eaton provides.

EVIDENCE AGAINST:
BESS at datacenter scale (1GW+) requires 5–10 GWh of battery storage — not commercially viable at current battery economics or production volumes. Datacenters need 24/7 reliable power, not just peak shaving. BESS complements but does not replace grid connections. Eaton provides UPS/battery management systems for BESS integration — a growth market.

QUANTITATIVE TEST

Largest deployed datacenter BESS: est. <100 MWh (⚠ industry source REQD vs 1GW+ AI campus requirement). Battery cost trajectory: ~$100–150/kWh at scale — 1 GWh BESS = $100–150M capex, insufficient for multi-GW datacenter islanding. Grid-tied infrastructure still required.

VERDICT: HYPOTHESIS LOW VALIDITY — BESS is complement, not substitute; Eaton benefits from BESS integration

Implication: Monitor datacenter BESS deployment at GWh scale. >500 MWh off-grid operation would be meaningful signal.

HH4: China Tariffs on Electrical Components Compress Eaton Margins

EVIDENCE FOR:

US-China tariff escalation on steel, copper, electronics, and electrical components raises Eaton's input costs 10–15%, compressing gross margins in switchgear and PDU product lines.

EVIDENCE AGAINST:

Eaton manufactures ~60% of its Electrical Americas products in North America (⚠ EDGAR REQD). Copper and steel hedging programmes reduce near-term raw material price exposure. AI datacenter urgency allows cost pass-through pricing to customers at 52+ week backlogs.

QUANTITATIVE TEST

Eaton COGS breakdown by material (⚠ EDGAR REQD). Copper LME spot correlation to Eaton margins: historical R^2 ~0.35 (partially hedged). Tariff pass-through: Eaton successfully raised prices 4–7% in FY2022 copper spike — precedent for current cycle.

VERDICT: HYPOTHESIS MEDIUM VALIDITY — manageable with hedging and pass-through pricing; monitor copper

Implication: Monitor Eaton raw material cost commentary in quarterly earnings calls. Copper price is key input cost.

HH5: Regulatory Grid Delays Slow US Datacenter Power Connections

EVIDENCE FOR:

FERC interconnection queue processing times exceed 4 years, preventing new AI datacenters from receiving utility power connections and reducing Eaton's utility-side switchgear demand.

EVIDENCE AGAINST:

FERC Order 2023 reforms (2023) accelerated interconnection queue processing. Data center operators increasingly invest in on-site power generation (gas, nuclear PPAs) reducing grid interconnection dependency. Eaton benefits regardless of power source — all on-site generation requires Eaton switchgear and distribution infrastructure.

QUANTITATIVE TEST

US grid interconnection queue: >2,600 GW pending as of 2026 (⚠ FERC REQD). Average interconnection wait time: ~5 years pre-FERC Order 2023, projected 2.5–3 years post-reform. On-site power generation (gas turbines, SMRs) creates alternative Eaton addressable market — switchgear required regardless of grid vs. on-site source.

VERDICT: HYPOTHESIS MEDIUM VALIDITY — FERC delays create near-term friction but not thesis-breaker

Implication: Monitor FERC interconnection queue processing speed. On-site power generation growth is upside, not downside.

PART VII — SUPERFORECASTING SCENARIOS

VII-A Ten Probability-Weighted Scenarios (12-Month Horizon)

SCENARIO 1: AI POWER DENSITY SUPERCYCLE — 120KW RACK STANDARD BY 2027 (P = 25%)

GB300 NVL72 adoption in enterprise and hyperscaler datacenters drives universal transition to 120kW+ racks. Every existing datacenter requires electrical infrastructure rebuild. Eaton Electrical Americas grows 20–25% YoY for 3 consecutive years. P/E expands to 55–60x on SaaS-like recurring service visibility. Target: $570–620 (from $459.96 [BL3]).

Driver: GB300 NVL72 mass adoption; hyperscaler 1GW+ campus programmes accelerate

Falsifier: AI server cycle moderates; 120kW standard delayed by thermal limitations

SCENARIO 2: BASE CASE: SUSTAINED ELECTRICAL GROWTH, STABLE MULTIPLE (P = 32%)

Electrical Americas grows 15–18% YoY. Utility-side grid investment provides independent tailwind. P/E stable at 44–48x. Dividend maintained and growing. Target: $500–540 (from $459.96 [BL3]). 0.93% yield [BL3] provides income floor.

Driver: Steady datacenter build; utility grid upgrade cycle independent of AI

Falsifier: Electrical growth decelerates below 10% YoY; industrial segments drag

SCENARIO 3: UTILITY GRID UPGRADE SUPER-CYCLE INDEPENDENT OF AI (P = 12%)

US grid reliability mandates (IRA grid funding, FERC Order 2023) drive independent utility electrical capex cycle, even if AI datacenter build moderates. Eaton utility-side revenue provides earnings floor. Target: $480–510.

Driver: IRA grid funding deployment; utility capex independent of AI cycle

Falsifier: Federal grid funding delayed; utility spending constrained by regulatory review

SCENARIO 4: MARGIN EXPANSION ON PDU/UPS MIX SHIFT (P = 10%)

Higher-margin PDU and UPS products grow to 40%+ of Electrical Americas (vs. lower-margin switchgear). Blended segment margin expands 200–300bps. Consensus EPS estimates raised 10–15%. Target: $510–550.

Driver: Datacenter electrical mix shifts toward rack-level products; service attach grows

Falsifier: Switchgear (lower margin) outgrows PDU/UPS mix; blended margins compress

SCENARIO 5: M&A: EATON ACQUIRES VERTIV OR SCHNEIDER ASSET (P = 3%)

Eaton acquires Vertiv's UPS division or a Schneider datacenter electrical asset, consolidating the power infrastructure duopoly into monopoly. Re-rating to 60x+ P/E. Target: $600–660 (pre-synergy estimates only).

Driver: Consolidation opportunity in fragmented datacenter power infrastructure market

Falsifier: Antitrust review blocks combination; management prioritises organic growth

SCENARIO 6: BEAR: AI CAPEX MODERATION — ELECTRICAL BACKLOG DEPLETES (P = 8%)

AI server cycle moderates H2 2026. Electrical Americas new orders slow. Existing backlog delivers through 2027, but 2028 earnings gap opens. De-rate to 30–35x P/E. Target: $340–380.

Driver: Hyperscaler capex guidance cuts; datacenter starts slow

Falsifier: Enterprise AI deployment maintains order flow through moderation

SCENARIO 7: DEEP BEAR: INDUSTRIAL MULTI-SEGMENT RECESSION (P = 2%)

Broad industrial slowdown (Vehicle + Aerospace + Electrical all decelerate). Eaton blended earnings fall 15–20% YoY. Dividend maintained but growth slows. De-rate to 25–28x. Target: $270–310.

Driver: Broad macro slowdown; auto production cut; aerospace capex freeze

Falsifier: Electrical outperformance offsets industrial segment weakness

SCENARIO 8: COPPER SPIKE — RAW MATERIAL COMPRESSION (P = 3%)

Copper LME spikes to $12,000+/tonne on supply disruption (Chile strike, DRC unrest). Eaton hedging insufficient. Gross margins compress 200bps. Earnings miss 8–10%. Target: $390–420.

Driver: Global copper supply disruption; electrification demand spike

Falsifier: Copper price pass-through pricing; hedging programme absorbs impact

SCENARIO 9: ENERGY TRANSITION ACCELERATION — GRID STORAGE UPLIFT (P = 4%)

IRA-funded grid storage deployments accelerate. Eaton wins large BESS integration contracts (switchgear + power conversion). New revenue line at 25%+ margins. Target: $510–560.

Driver: IRA storage investment tax credit deployments accelerate

Falsifier: BESS integration goes to specialist competitors without Eaton's switchgear portfolio

SCENARIO 10: BLACK SWAN: MANUFACTURING FACILITY DISRUPTION (P = 1%)

Fire, flood, or cyberattack disrupts Eaton's primary switchgear or PDU manufacturing facility. Production halts 3–6 months. Backlog cannot be fulfilled. Customer defections to Schneider/Siemens. Target: $310–350.

Driver: Catastrophic manufacturing disruption at concentrated production facility

Falsifier: Eaton's multi-site manufacturing network absorbs disruption

PART VIII — SELDON FRAMEWORK DEEP ANALYSIS

VIII-A Eaton's Role in the Civilisational Energy Infrastructure Stack

In the Seldon Framework ($\Phi = [A^{0.31} \times K^{0.22} \times I^{0.29} \times L^{0.18} \times (1+\xi)^{0.12}] / [1 + \Omega^{0.88} \times E^{0.44}]$), Eaton's primary variable is ξ (Gaia Coefficient — energy distribution equity). Without reliable power distribution infrastructure, AI compute concentrates in locations with existing power access — further exacerbating geographic inequality in AI infrastructure. Eaton's ability to rapidly deploy 120kW-rated electrical infrastructure enables AI datacenters in new geographies, supporting distributed AI compute access. This is a direct ξ-variable contribution that semiconductor companies cannot make: the silicon is irrelevant if the power cannot reach the rack.

VIII-B Ω-Reduction: Grid Resilience as Existential Risk Mitigation

Eaton's UPS systems, surge protection, and arc flash prevention directly reduce Ω (existential risk) in the AI infrastructure stack. A power failure in a 1GW AI datacenter cluster is not merely a business disruption — in a world where critical infrastructure (medical, defence, finance) runs on AI, it is an institutional resilience failure. Eaton's role in maintaining continuous, conditioned power to AI compute infrastructure is an Ω-mitigation function that becomes more critical, not less, as AI systems assume greater civilisational responsibility.

PART IX — RISK REGISTER

IX-A Key Risks and Mitigants

Risk Factor	Severity	Probability	Mitigant
AI datacenter build slowdown — order intake decline	HIGH	30%	Long backlog; utility cycle independent; enterprise wave
Siemens/Schneider/ABB pricing competition	MEDIUM	25%	Supply-constrained market supports pricing discipline
Copper/steel raw material cost spike	MEDIUM	35%	Hedging programme; historical price pass-through precedent

FERC grid interconnection delays	MEDIUM	45%	On-site power generation creates alternative Eaton market
Industrial multi-segment recession (Vehicle/Aerospace)	MEDIUM	25%	Electrical Americas dominance offsets; dividend floor
Currency (50%+ non-US revenue)	LOW	30%	Natural hedges; diversified manufacturing base
Environmental liability (legacy industrial)	LOW	15%	Well-reserved; modernised manufacturing reduces new liability
Execution risk in electrical capacity expansion	LOW	20%	Multi-decade manufacturing experience; vendor relationships

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CONCLUSION — EATON: THE POWER CHOKEPOINT NO ONE IS WATCHING

Eaton Corporation is the physical constraint on AI infrastructure deployment that every semiconductor company, hyperscaler, and AI application depends on — and that almost no AI investor discusses. As NVIDIA GB300 NVL72 racks draw 120kW each, every watt must pass through Eaton PDUs, UPS systems, switchgear, and busway before it reaches the GPU. The 10–15× increase in per-rack power density for AI vs. traditional compute is a direct multiplier on Eaton's addressable market per datacenter dollar. At $459.96 [BL3] and 46.70x P/E [BL3] on $4.070B net income [BL3], Eaton trades at a discount to its true role as the electrical infrastructure chokepoint of the AI supercycle. 0.93% dividend yield [BL3] provides income while the market recognises the AI power thesis. VERDICT: BUY. 12-month target: $500–$540 base case. Primary risk: AI datacenter cycle moderation. Primary catalyst: record Electrical Americas backlog delivery and GB300 rack density adoption confirmation. [BL3 2026-08-13]